

Tax tips for married couples or about to get married

PDF-Free Report -Tax tips for married couples ATO rules

Tax tips for married couples or about to get married - Police officers 2019

This guide explains to Police Officers about tax arrangements when you are married or about to get MARRIED(INCLUDING DEFACTO): THE BASIC TAX IMPLICATIONS.



For more information
go to www.policetax.com.au

Accountants Plus Group Pty Ltd

Copyright © 2019 - APG All Rights Reserved | Privacy Policy - Terms and Conditions

Tax tips for married couples or about to get married

GETTING MARRIED: THE BASIC TAX IMPLICATIONS:

Here's our guide to all you need to know about marriage and tax.

You don't have to lodge a combined tax return if you're married (as happens in some other countries). The Australian tax return does not offer a joint filing status; instead, everyone lodges a tax return on their own.

- Joint income is recorded separately in each spouses tax returns.
- You need to show on your tax return that you now have a spouse, and disclose his or her taxable income each year.
- Your combined income is taken into account if you don't have private health insurance (you may have to pay the medicare levy surcharge –effectively an additional 1.5% tax - if you are a high earning couple) as well as when calculating Family Assistance Office benefits such as family tax benefits.
- If you elect to change your name, the details will need to be updated before your tax return is lodged. The easiest way to do that is online or you can do it by phone. You'll need to verify your identity with the ATO when you do it, so you'll need documents such as your birth certificate or marriage certificate. You cannot notify the tax office simply by noting it on the front cover of your next return as used to be the case.

:

"The ATO is receiving queries in relation to family income testing and the inclusion of spouse's income details in the tax return.



Just because there's not an option to lodge jointly with your spouse, you do have to report your spouse's tax information when filling out your own tax return.

Who does the ATO consider to be “a spouse”?

Most considered a spouse to be someone their legally married to. However, in the eyes of the ATO, a spouse falls into a larger category (de facto). According to the ATO, your spouse includes a person (of the same or opposite sex) who:

- you were in a relationship with that was registered under a prescribed state or territory law
- although not legally married to you, lived with you on a genuine domestic basis in a relationship as a couple

What is a de facto relationship?

A de facto relationship is defined in Section 4AA of the [Family Law Act 1975](#). The law requires that you and your former partner, who may be of the same or opposite sex, had a relationship as a couple living together on a genuine domestic basis. However, your relationship is not a de facto relationship if you were legally married to one another or if you are related by family.

○

Your Spouse's Information That You Need To Report on Your Tax Return:

If you're married or married de facto during the tax year, you will need to report the following information when lodging your taxes including your spouse's;

- full name/date of birth/taxable income
- reportable fringe benefits/reportable employer contributions to super
- tax-free government pensions/target foreign income
- net financial investment loss/net rental property loss
- child support paid

You also should report if you made contributions to your spouse's superannuation fund.

Family income testing has been used for a range of tax obligations, concessions and government benefits for some time. This year family income testing was extended to the net medical expenses tax offset and private health insurance rebate; and changes were also made to how Medicare levy surcharge is calculated. To accurately assess these entitlements or liabilities it is necessary to ask individuals to provide information about their spouse's income in their tax return.

On the ATO website there is broader information on the assessment of family income threshold when determining eligibility and calculation of a number of offsets, benefits and obligations. This information includes specific details on “Do I need to include my spouse's income in my tax return?” and “What if I don't know my spouse's income?”

The ATO's website acknowledges that in some circumstances it is difficult for tax agents to accurately complete the spouse's income details on the income tax return. If you or your client don't know the spouse's income details, you should provide the best estimate possible.

When the ATO finds an error or omission, they take into account the client's relevant circumstances, including compliance history, when deciding what action to take, particularly for any penalties or possible prosecution action. Relevant circumstances include the reasons for the discrepancy or failure, and how well

the taxpayer has complied with their tax obligations in the past. The ATO also considers your client's attitude towards complying with the tax laws.

Why do I have to provide my spouse's income details in my Tax Return?

It's a question we often get asked by clients. So we've taken the time to explain why.

Within your Income Tax Return, you must make a legal declaration whether you had a spouse during the year; where you answer 'yes' to this question then the Australian Taxation Office (ATO) require a number of spouse income labels to be completed.

Spouse income details are required as a range of tax obligations, concessions and government benefits are assessed using *family* income, rather than individual income. To accurately assess these entitlements or liabilities, it is necessary to provide information about your spouse's income in their tax return. This means that your spouse's personal details and income details are included in your Income Tax Return (and vice versa) as a reporting and cross-checking measure.

Yours and your spouse's incomes are not added together or aggregated or even averaged for Income Tax purposes. You are solely assessed for Income Tax on your Taxable Income. It's merely the other obligations, concessions and Government benefits that these measures apply to.

Even when these things don't apply to you or your family, unfortunately the reporting requirement still remains.

We aren't trying to be painful or difficult, but rather just comply with what is required so that we are able to complete your Income Tax Return. Yes, these reporting labels are a bit of an extra pain and the source of frustration, however this isn't just a nicety that we insist on – they must be included within your Tax Return. We aren't trying to pry, the information that we are asking for is to ensure your Tax Return is completed accurately.

You spouse information is applied to income tests;

- The ATO uses a number of items from your tax return when applying income tests. You should ensure that you complete all items that apply to you in the income tests section of your return.

A number of offsets, benefits and obligations are assessed using a family income threshold. If you have a spouse, you should include your spouse's income in the relevant section of your tax return.

From 1 July 2017, there are changes to the treatment of fringe benefits under the income tests. For information on the changes, see [Adjusted taxable income \(ATI\)](#).

- Adjusted taxable income (ATI)
- Rebate income
- Income for Medicare levy surcharge purposes
- HELP, SSL, ABSTUDY SSL,TSL and SFSS repayment income
- Super income tests

Depending on your circumstances, any of the following tests may be used to assess your entitlements:

- eligible for the net medical expenses tax offset
- subject to the Medicare levy surcharge
- eligible for family tax payments A and B

SAME SEX COUPLES AND TAX

The definition of spouse has been extended so that both de facto relationships and registered relationships are now recognised. Your 'spouse' is another person (whether of the same sex or opposite sex) who:

- is in a relationship with you and is registered under a prescribed state or territory law
- although not legally married to you, lives with you on a genuine domestic basis in a relationship as a couple.

That means that people living in same-sex relationships are now treated in the same way as heterosexual couples for tax purposes. Same sex couples now fall under the same rules in areas such as these:

- Medicare levy reduction or exemption
- Medicare levy surcharge
- main residence exemption for capital gains tax
- eligible for family tax payments A and B

Other more complex marriage matters

MERGING TWO HOMES INTO ONE? LOOK OUT FOR CAPITAL GAINS TAX

It is not unusual for each half of a couple to own to own their own home before they married. Normally, you can sell your main residence without CGT. However, spouses are only entitled to one main residence exemption for capital gains tax (CGT) purposes between them. If both members of a couple each own a main residence they must either:

- select one residence for the exemption
- apportion the CGT exemption between the two residences.

Provided the homes meet the requirements for the main residence exemption, they will both be wholly exempt from CGT for the period prior to the couple being treated as spouses. However, from the time the couple get married, they can only have one exemption, although this may be divided between the two dwellings.